February 2025

As active brokers and capital facilitators, we constantly engage with investors, operators, and lenders to stay abreast of the Seniors Housing and Long-Term Care market. This brief report highlights key insights gathered from recent conversations with industry stakeholders of all types.

- More Assisted Living providers are no longer charging for guest meals at their communities. This encourages family members to visit more frequently and create opportunities for outside referrals to occur.
- Hospital systems continue acquiring smaller senior communities in rural markets. By providing quality care and incorporating visiting physicians, the hospital can alleviate strain on their acute care operation through controlling these settings.
- Rather than utilizing third-party management companies, single-site operators are pursuing a more passive role by hiring CEO positions for their campuses. This approach reduces costs compared to management fees while offering greater control.
- By committing to serve a percentage of lower-income seniors or creating a green program, Seniors Housing developers are receiving state grants for new projects from various housing and health authorities. This is making development projects more feasible despite high construction costs.
- Hospitals are forming JV relationships with for-profit SNF operators to run Skilled Nursing wings or buildings on their campus. These often aren't structured as NNN leases but rather joint ventures where the hospital owns a minority interest in the operation to help remain in compliance with anti-kickback laws.
- As acuity creep continues in Assisted Living and Memory Care, providers are charging higher community/move-in fees because of the frequent turnover they anticipate.
- Many Assisted Living and Skilled Nursing providers are scrutinizing surveyor reports more closely, ensuring they align with industry regulations. The influx of younger surveyors has led to misinterpretation of state regulations. This has prompted providers to appeal citations and penalties with more success.
- Smaller senior placement agencies are emerging as referral sources for communities. Often created by former sales directors and nurses, these agencies are generally well received by communities as they serve to disempower their national counterparts who have unfair market leverage. Some providers are even considering starting their own placement agency.
- Entrance Fee CCRC board members are showing reluctance to renew their seat-terms, citing concerns over the complexities of financial reporting and not understanding the true financial picture of their campus. Although personal liability is minimal, the potential reputational impact is leading many to step down.
- Cap rate compression for heavy-Medicaid Assisted Living communities continues, as more REITs and institutional investors are now considering these assets.
- Non-profit senior campuses are struggling to meet their fundraising goals. Re-engaging their original donor base has been difficult as many donors now prioritize more pressing issues such as homelessness, substance abuse, and opportunities for the youth in their markets.

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